

Investment



When economists discuss investment, they mean spending on capital that allows the economy to produce more goods in future. Capital includes machines and infrastructure, but also spending on the creation of skills through education and on knowledge through research and development. Investment is central to economic growth – only through greater productive capacity can the economy expand – but the amount of investment that is desirable is a more complex question than it might first appear. Investment fosters growth, but it can mean less consumption today.

Investment is affected by all sorts of variables. Because it usually involves borrowing from savers, the interest rate is an important factor. When rates are high, investors need to earn high returns from their investments to repay their loans and make a profit, so some projects become economically unviable. When interest

rates are low, more projects are worthwhile and investment is stimulated.